Accrual Completeness Estimator

Client	Meridian Capital Group, LLC
Fiscal Year End	—
Period	FY 2025 (January 1 – December 31, 2025)
Source Document	Trial Balance — FY2025
Source File	meridian_tb_fy2025.csv
Source Context	Exported from Meridian ERP (QuickBooks Enterprise) on Jan 15, 2026
Reference	ACE-2026-1023-203
Generated	23rd October 2026
Engagement Practitioner	—
Engagement Reviewer	—
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Accrual Completeness Estimator

Meridian Capital Group, LLC

23rd October 2026 • ACE-2026-1023-203

I. Scope

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Period Tested ... FY 2025 (January 1 – December 31, 2025)
Source ... Trial Balance — FY2025 (meridian_tb_fy2025.csv)
Accrual Accounts Identified ..... 5
Total Accrued Balance ..... $228,450.00
Deferred Revenue (Excluded) ..... $60,550.00
Prior Period Data ..... Included
Threshold ..... 50%
Monthly Run-Rate ..... $485,645.83
Accrual-to-Run-Rate ..... 47.0%
Meets Minimum Accrual Threshold (≥50%) ..... No
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The automated accrual completeness estimation procedures documented in this workpaper were performed on the accrual account balances and run-rate data provided by management for the period under examination. These procedures are designed to identify potential data anomalies that may warrant further investigation by the engagement team. The analysis was performed with reference to the FASB Accounting Standards Codification and applicable professional auditing standards.

II. Accrual Accounts & Reasonableness

Account	Classification	Balance	Matched Keyword
Accrued Payroll	Accrued Liability	$142,000.00	accrued payroll
Accrued Legal Fees	Accrued Liability	$35,000.00	accrued
Accrued Interest Payable	Accrued Liability	$24,500.00	accrued interest
Warranty Reserve	Provision / Reserve	$18,750.00	reserve
Accrued Utilities	Accrued Liability	$8,200.00	accrued
TOTAL		$228,450.00	

Per-Account Reasonableness Testing

Account	Annual Driver	Expected (1 mo)	Recorded	Variance	Status
Accrued Payroll	$1,456,938	$121,411	$142,000	$+20,589	Moderate Variance — Inquire
Accrued Interest Payable	—	—	$24,500	—	Driver Unavailable — Auditor Judgment Required

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Account	Annual Driver	Expected (1 mo)	Recorded	Variance	Status
Accrued Utilities	$116,555	$9,713	$8,200	$-1,513	Reasonable
Accrued Legal Fees	—	—	$35,000	—	Driver Unavailable — Auditor Judgment Required
Warranty Reserve	—	—	$18,750	—	Driver Unavailable — Auditor Judgment Required

Expected balances are analytical estimates based on run-rate logic and may not reflect actual accrual timing, cutoff adjustments, or management's specific accrual methodology. Auditor should obtain supporting schedules for all material accruals.

III. Expected Accrual Checklist

Expected Accrual	Detected?	Balance	Risk if Absent
Payroll Accrual	Yes	$142,000.00	Understated labor costs
Interest Accrual	Yes	$24,500.00	Understated financing costs
Tax Accrual	No	—	Understated tax liabilities
Rent Accrual	No	—	Understated occupancy costs
Utilities Accrual	Yes	$8,200.00	Understated operating costs
Insurance Accrual	No	—	Understated insurance obligations
Warranty Accrual	Yes	$18,750.00	Understated contingent liabilities
Bonus Accrual	No	—	Understated compensation
Legal Accrual	Yes	$35,000.00	Understated legal obligations
Professional Fees	No	—	Understated service obligations
Vacation / PTO	No	—	Understated PTO liability

IV. Run-Rate Analysis

Metric	Value
Prior Operating Expenses (Annual)	$5,827,750.00
Monthly Run-Rate	$485,645.83
Total Accrued Balance (excl. Deferred Revenue)	$228,450.00
Accrual-to-Run-Rate Ratio	47.0%
Threshold	50%
Meets Minimum Accrual Threshold (≥50%)	No

The accrual-to-run-rate ratio of 47.0% falls below the 50% minimum threshold, suggesting accrual balances may require additional completeness procedures. Combined with 6 potential missing accrual categories identified in Section III, the engagement team should perform additional completeness procedures.

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IV-A. Potential Missing Accruals

The following expected accrual types were not identified in the trial balance. The absence of these accruals does not necessarily indicate an error — some may not be applicable to the entity's operations or tax structure.

Expected Accrual	Basis	Status	Recommended Action
Tax Accrual	Current period tax provision	Not Found	Verify entity tax status (LLC pass-through may explain absence)
Rent Accrual	Lease obligations under ASC 842	Not Found	Confirm no lease obligations exist under ASC 842
Insurance Accrual	Insurance premium obligations	Not Found	Confirm insurance premium payment timing
Bonus Accrual	Performance-based compensation	Not Found	Confirm no bonus or incentive arrangements exist
Professional Fees	Professional services	Not Found	Confirm no unpaid professional service obligations
Vacation / PTO	Estimated unused PTO liability	Not Found	Inquire whether entity accrues PTO liability

Note: LLC pass-through status may explain the absence of Income Taxes Payable at the entity level. Verify entity tax classification.

IV-B. Deferred Revenue

Metric	Value
Deferred Revenue Balance	$60,550.00
Total Revenue	$6,850,000.00
Deferred as % of Revenue	0.88%
Deferred Revenue	$60,550.00

Deferred Revenue of $60,550.00 represents 0.88% of total revenue ($6,850,000). Auditor should verify that all deferred amounts relate to unfulfilled performance obligations as of the balance sheet date, and that revenue recognition timing is consistent with ASC 606 requirements. Obtain the deferred revenue rollforward schedule.

Narrative

Identified 5 accrued liability accounts with a combined balance of $228,450.00. Deferred Revenue of $60,550.00 has been excluded from the accrual-to-run-rate calculation and is analyzed separately. The monthly expense run-rate based on prior-period operating expenses is $485,645.83. The accrual-to-run-rate ratio is 47.0% (threshold: 50%). The accrued balance is below the 50% minimum threshold of the monthly expense run-rate (47.0% vs 50% threshold).

V. Findings

The following findings were identified from the accrual completeness analysis, reasonableness testing, and missing accrual estimation performed in the preceding sections. Each finding requires evaluation by the engagement team.

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#	Area	Finding	Risk	Action Required
1	Accrual Completeness	Accrual-to-run-rate ratio of 47.0% is below the 50% minimum threshold after excluding Deferred Revenue	HIGH	Perform additional completeness procedures
2	Missing Accruals	6 expected accrual type(s) not identified in TB: Tax Accrual, Rent Accrual, Insurance Accrual, Bonus Accrual, Professional Fees and 1 more	HIGH	Inquire with management regarding completeness of accrued liabilities
3	Accrued Payroll	Balance of $142,000 exceeds expected estimate by 17%	MODERATE	Obtain accrued payroll accrual schedule
4	Deferred Revenue	Deferred Revenue balance of $60,550 requires ASC 606 completeness verification	MODERATE	Obtain deferred revenue rollforward schedule
5	Reasonableness Testing	3 account(s) could not be tested against a run-rate driver	LOW	Obtain supporting documentation for accounts without determinable drivers

VI. Suggested Audit Procedures

The following procedures are suggested based on the findings identified in the preceding analysis. Procedures are prioritized by risk level.

Priority	Area	Procedure
HIGH	Accrual Completeness	Accrual-to-run-rate ratio of 47.0% is below the 50% minimum threshold. Request management's accrual schedule and supporting calculations for all identified accrual accounts. Perform cutoff testing around the period end date.
HIGH	Missing Accruals	6 expected accrual type(s) not identified in the trial balance. Inquire with management regarding Tax Accrual, Rent Accrual, Insurance Accrual, Bonus Accrual, and 2 other categories. Obtain written representation regarding completeness of accrued liabilities.
MODERATE	Deferred Revenue	Deferred Revenue balance of $60,550 requires ASC 606 completeness verification. Obtain the deferred revenue rollforward. Confirm all balances relate to unfulfilled performance obligations as of the balance sheet date.
MODERATE	Accrued Payroll	Obtain accrued payroll accrual schedule. Compare to management's accrual methodology documentation.
MODERATE	General Completeness	Review post-period-end disbursements for items that should have been accrued at period end. Scan unrecorded liability search results for omitted accruals.

Interpretive Context: The results presented herein reflect automated data analytics and are intended to support, not replace, professional judgment. Identified anomalies may indicate areas requiring additional inquiry but do not, in themselves, constitute evidence of error, fraud, or material misstatement. The engagement team should evaluate each flagged item in the context of the overall engagement risk assessment and perform corroborating procedures as deemed necessary under applicable professional standards.

Authoritative References

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Body	Reference	Topic	Status
AICPA	AU-C § 520	Analytical Procedures	Current
FASB	ASC 420-10	Exit or Disposal Cost Obligations	Current
FASB	ASC 450-20	Contingencies — Loss Contingencies	Current
FASB	ASC 606-10	Revenue from Contracts with Customers	Current
FASB	ASC 835-30	Interest — Imputation of Interest	Current

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This memo documents automated accrual completeness estimation testing procedures with reference to ISA 520 (Analytical Procedures). Results represent data anomalies identified through analytics and are not conclusions regarding internal control effectiveness, fraud, or material misstatement risk. The auditor must evaluate each flagged item in the context of the engagement and perform additional procedures as necessary per professional standards. This memo does not constitute audit evidence sufficient to support an opinion without corroborating procedures. Generated by Paciolus — Zero-Storage Audit Intelligence.

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